NLT(PSF/NSC) 1500

~~TOP SECRET~~

October 20, 1949

MEMORANDUM FOR THE PRESIDENT

The following notes give a summary of the discussion at the 47th meeting of the National Security Council, at which Secretary Acheson presided. The Vice President, being absent from the city, did not attend. Secretary Snyder was present, and, in the absence of Mr. Hoffman, Mr. Foster participated in the consideration of Item 1. Mr. Souers reported that, with the approval of the President, he would be away for several weeks and that Mr. Lay would act as Executive Secretary during his absence.

1. THE POSITION OF THE UNITED STATES WITH RESPECT TO FORMOSA (NSC 37/8)

SECRETARY ACHESON said the main point in the paper was the communication to Chiang Kai-shek after the fall of Canton, which had now taken place.

SECRETARY JOHNSON proposed that the Council defer action on the paper and refer it to the staff for consideration in connection with the overall Asia paper, unless there were some immediate overriding reasons to the contrary. He felt that the report proposed no new policy beyond that already approved in NSC 37/2. He felt that any press release would prejudice our best interests and limit our possible future courses of action. He agreed that a communication as suggested in the report should be made to Chiang Kai-shek. He suggested a change in the language of the proposed communication in paragraph 6.

GENERAL BRADLEY said we ought not to publicize such a communication since we might change our mind in the light of the overall Asia policy, which was still under preparation. Whereas the Joint Chiefs feel we should not go into Formosa now, he said the situation may change.

MR. FOSTER said he assumed that the ECA program would be continued in Formosa.

SECRETARY ACHESON agreed that the report did not go beyond current policy and accepted the proposal to eliminate the public statement and to change the language in paragraph 6.

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THE NATIONAL SECURITY COUNCIL:

a. Agreed in principle, as being in consonance with existing policy in NSC 37/2, that the Department of State should make diplomatic representations to Generalissimo Chiang Kai-shek (but no public statements) along the lines indicated on pages 6 and 7 of NSC 37/8, subject to the deletion of the first sentence and amendment of the second sentence to read as follows:

> "The U. S. Government does not intend to commit any of its armed forces to the defense of the Island."

b. Referred NSC 37/8, subject to the above references, to the NSC staff for use in its study in "U. S. Policy Toward Asia" pursuant to NSC 48.

2. THE AUSTRIAN TREATY NEGOTIATIONS
(Progress Report on the subject, dated October 17, 1949)

SECRETARY ACHESON reviewed the course of negotiations, with special attention on recent pressure by the Austrian Government. He went over the outstanding unagreed issues—oil, rolling stock, employment of foreign technicians, and displaced persons—none of which he felt, though bad, should make the difference between having a treaty or not. He said he had discussed the problem with the Senate Foreign Relations Committee. In conclusion, he said that the continuing division of Austria might mean we would never have an Austria unless we got it now, and he mentioned our long-standing commitment to have a treaty. Therefore, he wished to ask the President for authority to agree on a treaty, making concessions to the Soviets on the above points in return for agreement on foreign technical assistance and on a statement of the amount of the Soviet claim for food, etc.

At SECRETARY JOHNSON's request MR. VOORHEES outlined General Keyes' views, which Mr. Voorhees suggested should be presented to the President with the comment that, since General Keyes did not concur with the proposed course of action, the Department of Defense also did not concur, although it did not actively oppose such course. General Keyes felt that if a treaty was agreed with all concessions granted, the Austrians would not be able to resist Soviet aggression any more than their neighbors had. From the military point of view, General Keyes felt that if we were to set up an Austrian army in our own zone, the Soviets would of course do the same thing in their sone. Therefore, he felt we should seek to get the Allied Council to remove its present prohibition on the formation of an Austrian army. As for equipment

for an Austrian army, Mr. Voorhees said General Lemnitzer thought the amount necessary could be provided, in the absence of Congressional authority, from the general MAP program; and that the first MAP material should be delivered in care of the U. S. Army Forces in Austria.

GENERAL BRADLEY said the Joint Chiefs wanted to see the occupation ended because of our militarily untenable position there, but did not think we should make every concession just to get out, especially in view of the danger of subsequent Soviet control.

SECRETARY JOHNSON then proposed that action on this current paper be deferred until after the staff paper with respect to the Austrian army had been approved.

SECRETARY ACHESON mentioned the necessity for immediate action in order to permit the extension of negotiations, and remarked that he agreed with the plan for furnishing military equipment and that he thought the staff paper under preparation considered the means for training an Austrian army. MR. LAY confirmed the fact that it would.

SECRETARY JOHNSON said he was inclined to agree in general with Secretary Acheson. However, he proposed, and SECRETARY ACHESON agreed, that the views of the Defense Establishment, including those of General Keyes, should be forwarded for the President's information together with State's Progress Report.

SECRETARY SNYDER said he felt we would be in a better position if we acquiesced to the desires of the Austrian Government in agreeing to a treaty. His only concern was whether this might serve as a precedent for other cases.

THE NATIONAL SECURITY COUNCIL:

a. Considered and discussed the reference progress report and agreed that it should be transmitted to the President together with a written statement embodying the views expressed orally by Under Secretary Voorhees at the meeting.

b. Directed the NSC staff to complete as a matter of urgency its report on the security aspects of the Austrian Treaty, being prepared pursuant to NSC Action No. 232.

NOTE: The documents referred to in a above subsequently transmitted to the President.

3. BRITISH VIEWS RESPECTING HONG KONG
(NSC 55/1 and 55/2)

SECRETARY JOHNSON said that the question of Hong Kong was primarily a political matter and that it was up to the British to decide their policy there. He said the Department of Defense was concerned that the British might transfer military forces from other areas which are of strategic value to the United States to Hong Kong, which is not. He felt that United States forces should not be used to defend Hong Kong since it has little military or strategic value and that any political action on the part of the United States to support the British should carry absolutely no implication that United States forces will be so used. He recommended that the Council make a recommendation to the President in this sense.

SECRETARY ACHESON agreed and said that any United States support of the British case in the United Nations would not carry any commitment of United States forces, especially since the USSR would certainly veto any Security Council action involving employment of armed forces under UN auspices.

THE NATIONAL SECURITY COUNCIL:

a. Noted and discussed the reference reports.

b. Agreed to recommend to the President that, in consonance with the views of the Joint Chiefs of Staff as expressed in NSC 55/2, the United States will not provide military support to the British for the defense of Hong Kong in the event of a Communist military attack, under present circumstances or presently foreseeable circumstances.

c. Noted the observation by the Secretary of State that the above recommendation would not be affected by U. S. moral support of a British appeal to the United Nations on this matter, since the USSR would certainly veto any Security Council action involving employment of armed forces under United Nations auspices.

NOTE: The action in b above subsequently submitted to the President for his consideration.

4. REVIEW OF THE WORLD SITUATION
(CIA 10-49)

THE NATIONAL SECURITY COUNCIL:

Noted the reference report on the subject by the Director of Central Intelligence.

5. STATUS OF PROJECTS

THE NATIONAL SECURITY COUNCIL:

Noted the Status of Projects as of October 17, 1949